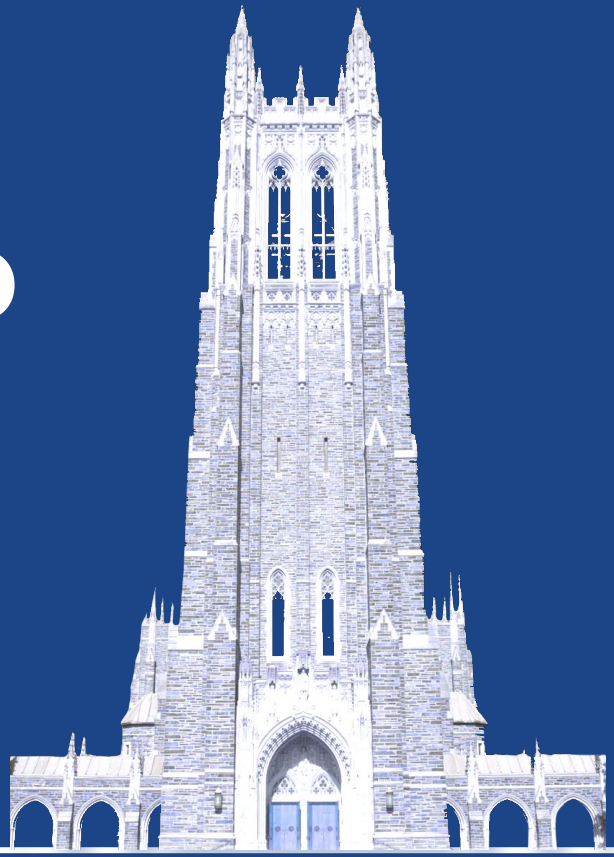
NC Hotel Group Deliverable

Chris Hill



Revenue Breakdown

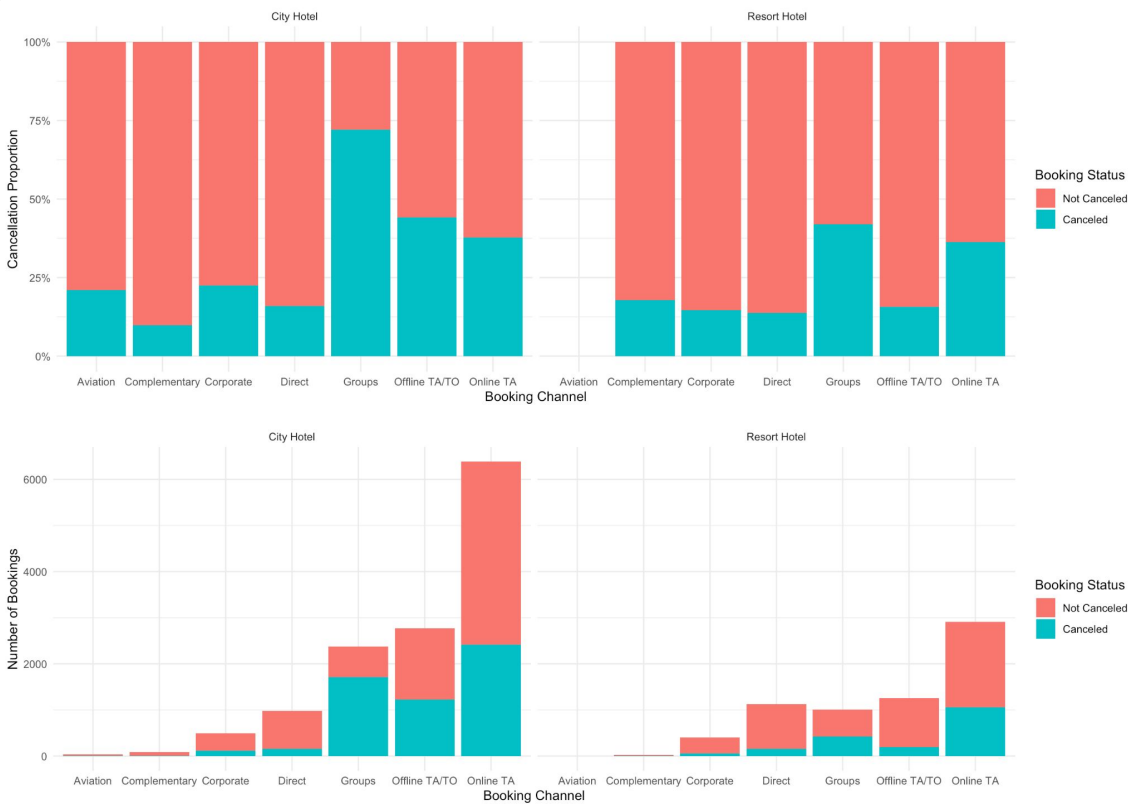
- Cancellations are a bigger problem at the city hotel but should be fixed in both
- NC Hotel Group is missing out on about 39% of potential revenue if all rooms are sold

	Total Bookings	Canceled Bookings	Cancellation Rate
City Hotel	13,138	5,637	42.9%
Resort Hotel	6,738	1,897	28.2%
Combined	*19,876*	*7534*	*37.9%*

	Revenue Earned	Revenue Missed	Total Potential Revenue
City Hotel	2,372,893	1,805,850	4,178,742
Resort Hotel	1,971,754	1,009,025	2,980,779
Combined	*4,344,647*	*2,814,875*	*7,159,521*

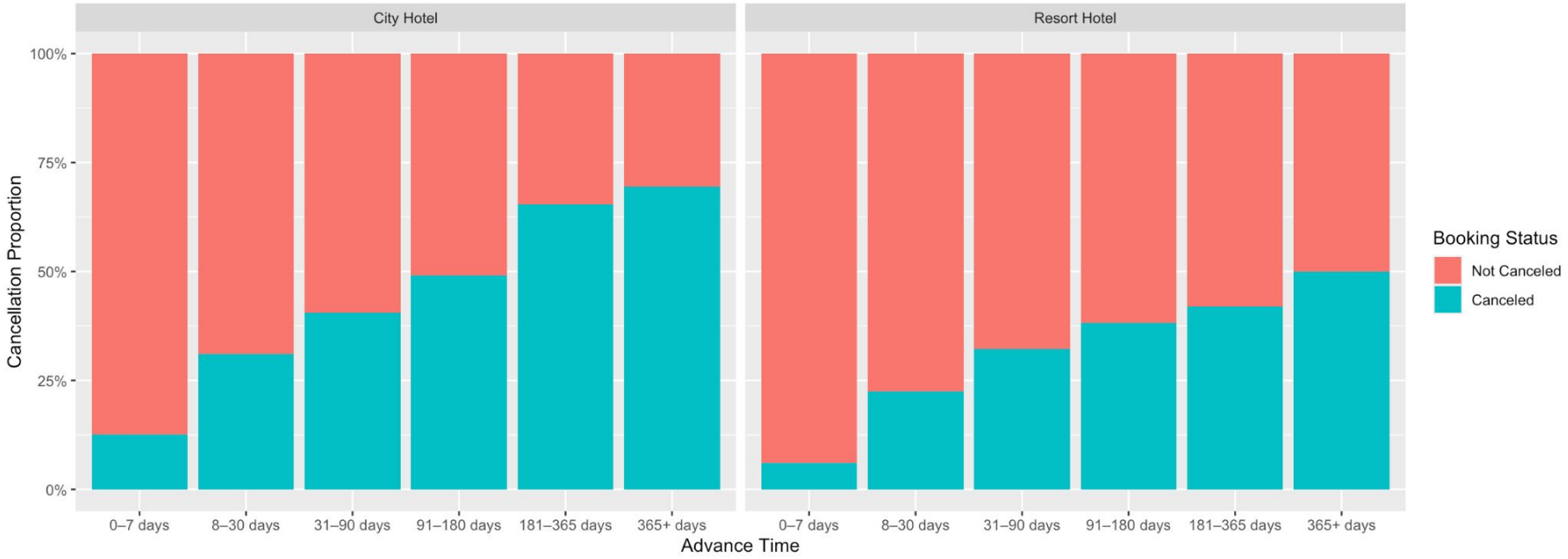
Booking Channel Breakdown

- Groups have the highest rate but at a lower volume
- Travel Agents and Tour Operators have the highest volume of cancellations



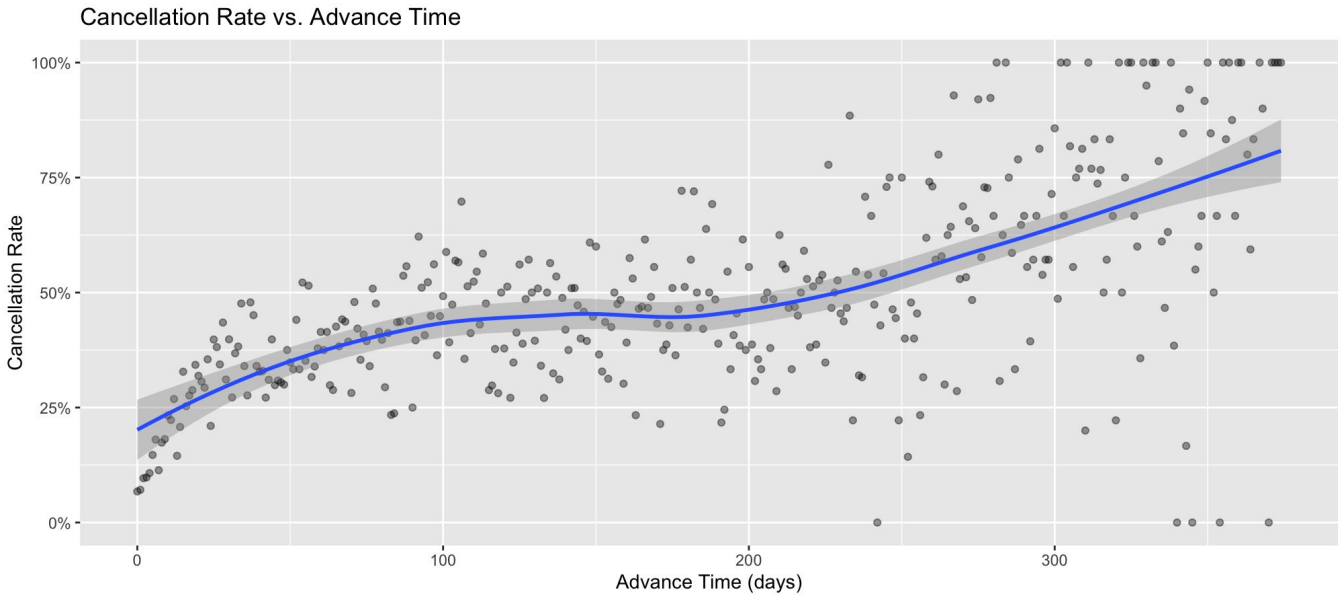
*There is no aviation booking for the resort

Proportion of Cancellations by Advance Notice



Cancellation Rate by Advance Time

- Continuous increase overall in cancellation rate
- Sharp increase in cancellation rate around 200 days



Solution - Require Deposit

- ➔ Require a 50% booking deposit for:
  - 200+ days out
  - Groups
  - Online Travel Agent
  - Offline Travel Agent/Tour Operator

Takeaways - Booking Deposits

- Assumptions:
  - 10% of the cancellations wouldn't book
  - Cancellation rate is halved
- Gain over two million in revenue → a 50% increase

Limitations of my analysis

- I couldn’t test my revenue gain estimate against historical data at the NC Hotel Group
  a. Without previous data, I don’t know for sure what the benefit would be for the hotel

Thank You

- ➔ Questions?
- ➔ Next Steps

